SOUND MANAGEMENT SYSTEMS IP ENABLED

INVESTMENT & COMMERCIALIZATION READINESS with Normative Accounting

A staged value, financing and growth-readiness pathway for IP-rich companies

For Founders, CEOs & Growth Leadership Teams

Sound Management Systems | Founder / CEO Discussion Deck

FOUNDER / CEO DISCUSSION DECK

Today's discussion

A concise overview of how Sound Management helps IP-rich companies improve value visibility, financing readiness and commercialization execution.

1. **Your priorities**
   Current financing, commercialization, valuation or growth objectives.
2. **The readiness gap**
   Where strong technology and IP can still fall short of an investor-ready company.
3. **Sound Management Systems overview**
   Our integrated readiness model and the experience behind it.
4. **Stage 1 → Stage 2 engagement**
   Start focused; deepen only where the value and readiness opportunity justifies it.
5. **Normative Accounting + Corporate Canvas + VMS**
   How value recognition, commercialization road-mapping and continuous reporting work together.
6. **Experience, fit & next steps**
   Where we add the most value and the simplest way to get started.

Working objective	Determine whether a Stage 1 Readiness & Value Diagnostic could improve your next financing or commercialization decision.

What Sound Management Systems provides:

An integrated readiness offer — with Normative Accounting as a foundation, not the whole solution.

Investment Readiness

Build a credible value and financing storyline for investors, lenders and funding partners — supported by diligence, normative accounting & management financials, enterprise-value logic and capital-structure implications.

Rethinking Capital

Commercialization Readiness

Translate value findings into decisions: identify structural and execution gaps, align the Corporate Canvas, and prioritize a practical roadmap toward market, scale and follow-on capital.

Corporate Canvass

Value Management

Turn point-in-time readiness work into a continuous value-management process — structured founder reporting, dated evidence and valuation history, KPI progression, and consistent investor communications.

Value Management Solution

Core idea **IP-rich growth companies need a coherent path from technology value → enterprise value → commercialization priorities → investor / partner communication.**

THE PROBLEM

Strong technology and IP do not automatically create an investment-ready company

The difficult gap is often corporate, financial and commercial — not technical.

TECHNOLOGY + IP

Product / technical progress
Validation + customer milestones
Grant / non-dilutive support

THE READINESS GAP

01 **Enterprise value**

02 **Management financial story**

03 **Ownership & capital structure**

04 **Commercial priorities**

05 **Investor evidence & diligence**

SCALABLE COMPANY

Private / strategic capital
Commercial adoption
Repeatable reporting

What we repeatedly see

The technology may be investable before the company is investment-ready. Sound Management is designed to close that gap without slowing the technical program.

One integrated readiness system

Evidence first. Then value, decisions and an investor-ready operating narrative.



Project oversight, milestone review and formal sign-off run across the full engagement.

Make the hidden value of IP-rich companies visible

A management-value lens that helps connect intangible assets to financing, valuation and commercialization decisions.

THE REPORTING GAP

Book value can tell an incomplete story

For many growth-stage companies, important value has been built through development work, software, proprietary know-how, data, licences, relationships and other intangibles — while the financial statements were optimized mainly for tax and compliance reporting.

Economic value **can be materially greater than book value**

WHAT WE LOOK FOR

1

INTELLECTUAL CAPITAL

IP · software · data
proprietary processes
patents · know-how

2

HUMAN-CREATIVE CAPITAL

specialized expertise
trained teams
research capability
creative output

3

SOCIAL-RELATIONAL CAPITAL

customer / supplier ties
market reputation
investor relationships
licence to operate

The objective **Create a disciplined management view of value that is better aligned to commercial reality — then use that evidence to support enterprise value, capital strategy and investor readiness.**

From evidence to an investor-ready value story

A structured process — with clear boundaries between management reporting, formal accounting recognition and independent valuation.

01

Management discovery

Identify value drivers and candidate intangibles; understand the commercial model and financing objective.

02

Technical + evidence review

Map development history, ownership, people, licences, cost centres and evidence supporting each asset.

03

Accounting review

Confirm current treatment; identify costs and assets that may support a restated management-value view.

04

Restatement + decision use

Build the management financial/value picture and connect it to enterprise value, capital structure and commercialization priorities.

Guardrails: **Normative outputs are management statements and decision-support materials. Current IFRS / GAAP recognition tests still apply to statutory or audited reporting; certified appraisal or audit work is added when the financing context requires it.**

Turn readiness findings into an executable commercialization roadmap

Ken Hein's four-phase framework moves a company from commercialization diagnosis to prioritized action, implementation and measurable scale-up.

01

Introduction & Matching

- Identify commercialization stage
- Clarify growth objective + investor requirements
- Match advisor capability to the plan

02

Scorecard Baseline

- Rate business criteria for completeness
- Make structural gaps visible
- Define the workshops / workstreams required

03

Strategic Roadmap

- Challenge-dialogue workshops + research
- Engage specialist advisors as needed
- Prioritize recommendations and stage-gate decisions

04

Scale-up for Growth

- Implement approved recommendations
- Track KPIs + financial earned value
- Prepare the company for commercial operations

HOW IT FITS INSIDE SOUND MANAGEMENT

Normative Accounting

What value exists and can be evidenced?

Corporate Canvas

What must change to commercialize and grow?

Value Management (VMS)

How is progress tracked and communicated over time?

Founder relevance: Corporate Canvas converts readiness findings into an executable growth roadmap — clarifying priorities, accountable workstreams, stage-gates and measurable commercialization milestones.

A practical Stage 1 → Stage 2 pathway

Milestone-gated so companies receive the depth of work they need.

STAGE 1

Readiness & Value Diagnostic

1. Targeted diligence
2. Intangible / value-driver map
3. Readiness gap baseline
4. Prioritized Stage 2 scope

GATE

Material value + readiness gap?

STAGE 2

Investment & Commercialization Readiness

1	Management financial value picture	Asset / intangible recognition and restated management view
2	Enterprise value + capital structure	Funding narrative, dilution and financing implications
3	Corporate Canvas	Scorecard baseline, challenge-dialogue workshops and prioritized commercialization roadmap
4	VMS implementation	Baseline → recurring updates → dated value / KPI history → investor communications

Optional: independent appraisal / audit where required

Stage 1 creates a common baseline. Stage 2 is activated where deeper value and readiness work can materially change financing or commercialization outcomes.

How founders can engage us

Start with a focused diagnostic. Deepen the work only when it can materially improve financing, value recognition or commercialization execution.

STAGE 1

Opening Readiness & Value Diagnostic

Focused assessment before the next financing or commercialization decision.

- Focused corporate / financial diligence
- IP + intangible value-driver map
- High-level value assessment + corporate structure review
- Readiness gaps and priority risks
- Defined Stage 2 scope and go / no-go decision

OUTPUT | Baseline value / readiness view + prioritized next steps

STAGE 2

Scaling Valuation & Commercialization Readiness

Deeper work when value recognition and readiness can change the outcome.

- Full diligence + Normative Accounting management value picture
- Enterprise value + capital structure / dilution implications
- Corporate Canvas scorecard + prioritized commercialization roadmap
- Investor / lender / grant diligence evidence
- VMS implementation for ongoing reporting and value progression

OUTPUT | Investor-ready value story + executable growth roadmap

OPTIONAL / CONTINUITY

Independent appraisal / audit

When a transaction or financing requires certified third-party work.

VMS

First-year access included with qualifying Stage 2 / Commercialization Package engagements.

What the Sound Management service model is designed to deliver

A staged solution that improves value visibility, financing readiness and commercialization execution.

CLIENT BENEFITS

1	**Investment readiness**	A clearer enterprise-value and financing narrative for investors and strategic partners.
2	**Improved financing access**	Better evidence for equity, lender, grant-match and non-dilutive capital discussions.
3	**Strategic clarity**	Corporate Canvas converts readiness gaps into prioritized commercialization actions, accountable workstreams and measurable next milestones.
4	**Diligence preparedness**	More complete ownership, IP, financial and corporate evidence for data-room review.
5	**Continuity over time**	VMS converts the engagement into an ongoing reporting cycle — capturing milestones, KPIs, financial changes and valuation evidence so progress can be communicated consistently to investors and funders.

SOLUTION OUTLINE

STAGE 1 — **Opening Readiness & Value Diagnostic**

Focused diligence · value-driver map · baseline gaps · scoped next steps

STAGE 2 — **Scaling Valuation + Commercialization Readiness**

Management value picture · enterprise value · capital structure · Corporate Canvas roadmap

OPTIONAL — **Independent Appraisal / Audit**

Third-party certified work where a financing, lender or transaction context requires it

VMS — **Value Management Solution**

Continuous value-management layer: recurring founder reporting · value / KPI history · milestone evidence · investor communications

The structure is intentionally modular: diagnose first, deepen only where the value/readiness opportunity justifies it, then use VMS to measure, evidence and communicate value progression over time.

What a participating company leaves with

A practical evidence set that can be used with management, investors, lenders and funding partners.

01	**Readiness baseline**	A clear view of gaps and priorities
02	**Value evidence**	Organized IP / intangible-asset support
03	**Financial value picture**	Management-level restated view
04	**Enterprise-value narrative**	Funding and capital-structure logic
05	**Commercialization roadmap**	Corporate Canvas scorecard, priorities and implementation roadmap

VALUE MANAGEMENT SOLUTION (VMS)

Company Value Profile

A living record carried forward after the engagement

Value Evidence — ORGANIZED
IP, ownership + supporting evidence

Financial & Enterprise Value — CURRENT
Management value picture + funding logic

Commercial Roadmap — PRIORITIZED
Corporate Canvas actions + milestones

Investor Reporting — ONGOING
Structured updates + communication cadence

CONTINUOUS VALUE-MANAGEMENT LOOP

Baseline → Evidence → Milestones → Updated value → Investor update

VMS keeps the engagement outputs current and connected — rather than leaving the company with a static report.

From point-in-time readiness to continuous value management

VMS creates a repeatable cycle for capturing progress, updating the value story and keeping investors informed.

1 Establish value

Readiness baseline · value drivers · enterprise-value narrative

2 Execute roadmap

Commercial priorities · milestones · risk reduction

3 Report progress

Structured founder updates · financials · KPIs · asks

4 Capture evidence

Versioned documents · milestone proof · financing events

5 Update value

Dated valuation / readiness snapshots · value progression

6 COMMUNICATE WITH INVESTORS

Approved updates, dashboards and periodic communications show what changed, why it matters, current risks and the next capital / commercialization priorities.

7 REPRIORITIZE + REPEAT

Investor feedback, milestone results and new evidence feed the next roadmap cycle — making reporting a management discipline rather than an administrative task.

The value-management principle

Value is created by company execution. VMS captures the evidence of that progress and turns it into a consistent, defensible narrative of value progression for management, investors and funding partners.

A reporting backbone for founders, investors and boards

Standardized reporting creates a longitudinal evidence base — not a collection of disconnected quarterly PDFs.

FOUNDER / COMPANY

Structured recurring updates

- Highlights, milestones & challenges
- Revenue / ARR / MRR or sector KPIs
- Cash, burn, runway & headcount
- Fundraising status + investor asks
- Financial statements and supporting files

VALUE + EVIDENCE ENGINE

Preserve the history

- Dated valuation snapshots — never overwritten
- Financing rounds + cap-table changes
- Versioned evidence and documents
- Milestone, risk and readiness history
- Company performance kept separate from investment performance

INVESTOR / FUNDER

Communicate what changed

- Latest approved company update
- Historical update and financial record
- Investor-specific portfolio / company view
- Notifications and periodic digests
- Clear next milestones, risks and capital needs

For a growth company: baseline → recurring reporting → KPI / milestone evidence → updated value/readiness → investor / board communication

Experienced operators + specialized value expertise

Sound Management combines commercialization, venture building, product strategy and financial / intangible-asset expertise.

KH

Ken Hein, FCMC

Partner · Strategic Advisory & Corporate Canvas

30+ years of client-value and business-growth experience. Leads strategic advisory and the Corporate Canvas commercialization framework, translating readiness findings into prioritized growth action.

RD

Randy Duguay, P.Eng. M.Eng., Management

Managing Partner · Investment & Commercialization Readiness

Corporate and startup operator with deep experience in commercialization, venture building, investor strategy, partnerships and growth-company execution.

TO

Tom Ogaranko

Partner · Innovation Strategy & Venture Diligence

Focuses on venture strategy, commercialization model, AI / product architecture, investor materials, business development and operating design.

FINANCIAL & METHODOLOGY PARTNERS

RM

Robert McGarvey

Co-founder · Rethinking Capital

Intangible-asset strategist and co-developer of the Normative Accounting framework; primary methodology authority.

JB

Joe Batty, CPA, CA

Co-founder · Rethinking Capital

40+ years in finance, auditing and accounting; co-developer of the framework and primary financial / accounting authority.

Current delivery + historical methodology evidence

Sound Management combines commercialization readiness, intangible-asset valuation and financing methods supported by applied case history.

CURRENT ENGAGEMENT

Confidential Client · Edmonton

Advanced materials / IP-rich growth company

- Normative Accounting report + investment-readiness work.
- IP / intangible-asset identification and value foundation.
- Corporate roadmap across strategy, finance, market, operations, people + technology.
- Stage 2 commercialization transition planned.

Confidential delivery reference — engagement in progress.

ALBERTA / CLEANTECH PRECEDENT

Calgary carbon-credit aggregator

Historical Rethinking Capital partner case

$1.3M
intangible development costs capitalized

$30M
subsequent financing reported in case materials

- Detailed case states PwC Calgary approved / audited the restated financials.
- Strengthened statements + intangible assets were then used in the company's financing story.

San Jose · Commercial software

$5M of software / IP capitalized in partner case materials; the same bank that had earlier declined financing later offered a $3M revolving credit line.

Historical methodology case

Edmonton · Agricultural technology

Patented technology and trade secrets were identified / transferred; capital structure and earlier investments were reset. Partner materials report ~ $3.25M total tangible + intangible assets after the work.

Historical methodology case

The reference story: prior financing / intangible-value casework + a current confidential engagement applying the integrated readiness model now.

When founders typically call us

The strongest fit is usually a company with valuable IP / intangibles and an upcoming decision where value, evidence or readiness matters.

Raising equity

You need a stronger enterprise-value and dilution story before a financing round.

Grant / matched funding

The company must show credible value, structure and financing readiness alongside non-dilutive capital.

Lender / investor diligence

Your data room, ownership, financial value picture or evidence base needs strengthening.

Scaling commercialization

Technical progress is ahead of the corporate, market or operating roadmap.

Strategic transaction

A licensing, partnership, M&A or other transaction requires a defensible value narrative.

Investor / board reporting

You need a repeatable way to show milestones, value progression, risks and next priorities.

Where Sound Management adds the most value

The model is designed for IP-rich growth companies where traditional financial statements and ad hoc planning do not fully explain enterprise value or readiness.

VALUABLE BUT UNDER-EXPLAINED

Significant internally developed IP, software, data, know-how, licences or other intangibles are central to the business — but are not well reflected in the company's financial or investor narrative.

GOOD FIT SIGNAL

A MATERIAL CAPITAL DECISION

The company is preparing for equity, grant-match, lender, strategic-partner or transaction diligence where valuation, ownership, structure and evidence will be scrutinized.

GOOD FIT SIGNAL

READY TO TURN VALUE INTO ACTION

Management needs a prioritized commercialization roadmap and a disciplined way to report milestones, KPI progress and value creation to investors / the board.

GOOD FIT SIGNAL

If two or more of these conditions apply, a Stage 1 Readiness & Value Diagnostic is usually worth a conversation.

Start with a focused Readiness & Value Diagnostic

The first engagement is designed to create clarity quickly — before committing to deeper valuation, financing or commercialization work.

01

Define the decision

Clarify the financing, commercialization, grant, lender or strategic decision that needs a stronger value / readiness foundation.

02

Complete Stage 1

Review the company, key financial / corporate materials, IP / intangibles and readiness gaps; establish a baseline and priorities.

03

Choose the next move

Stop with the diagnostic, address selected gaps internally, or proceed to a defined Stage 2 engagement where deeper work is justified.

Would a Stage 1 diagnostic materially improve your next financing or commercialization decision?

Where Normative Accounting contributes

A value-recognition method inside the broader Sound Management readiness system.

1

Discover candidate assets

Management / technical interviews identify IP, software, know-how and other value drivers.

2

Trace evidence and cost history

Review ownership, development history, cost centres and existing accounting treatment.

3

Build the management value picture

Identify appropriate recognition / capitalization treatment and document a restated management view.

4

Connect value to decisions

Use the findings in enterprise-value, financing, capital-structure and commercialization planning.

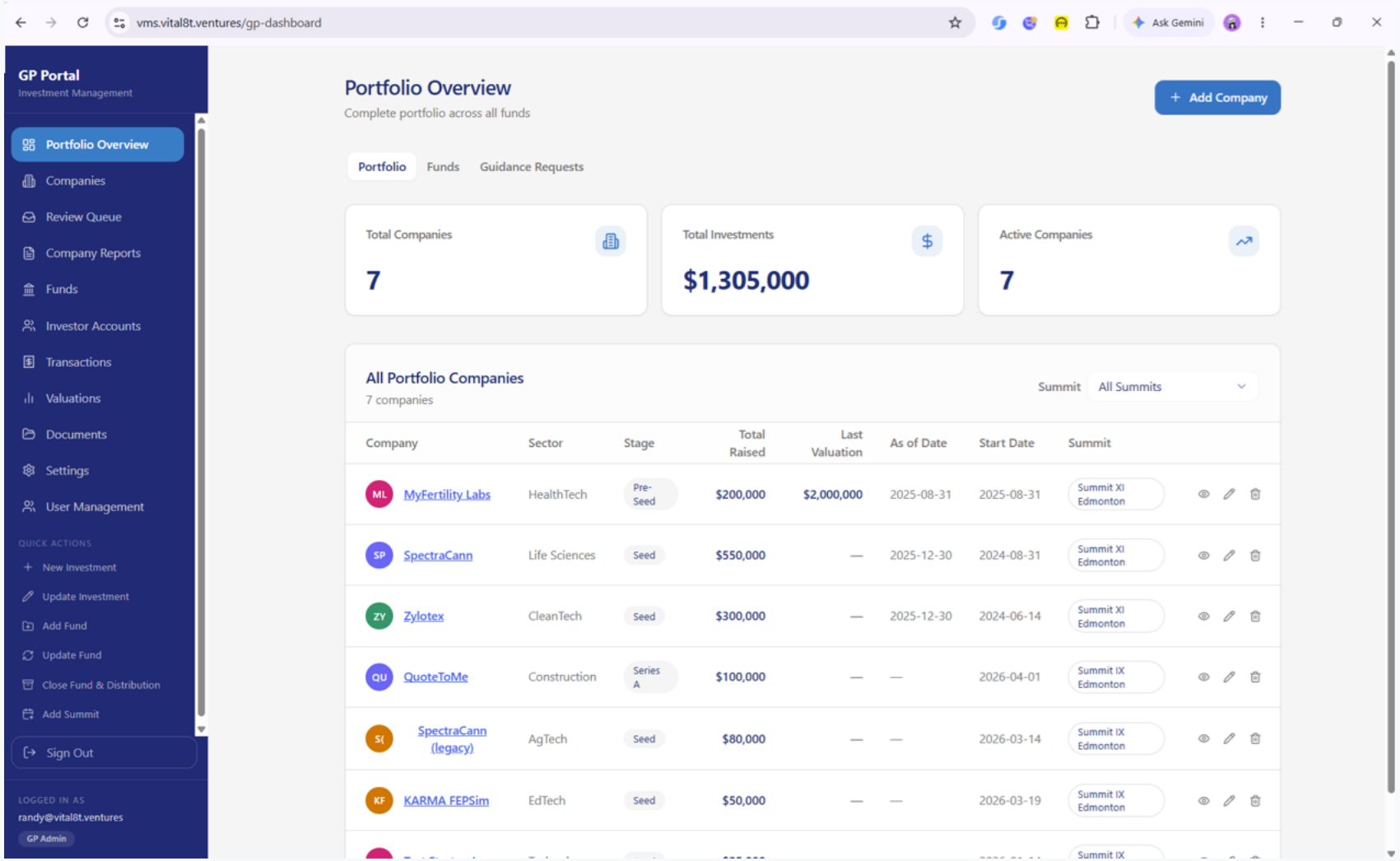
Important distinction:

Sound Management can create a management value / readiness view.

Independent certified appraisal or audit work is added separately when the financing context requires it.

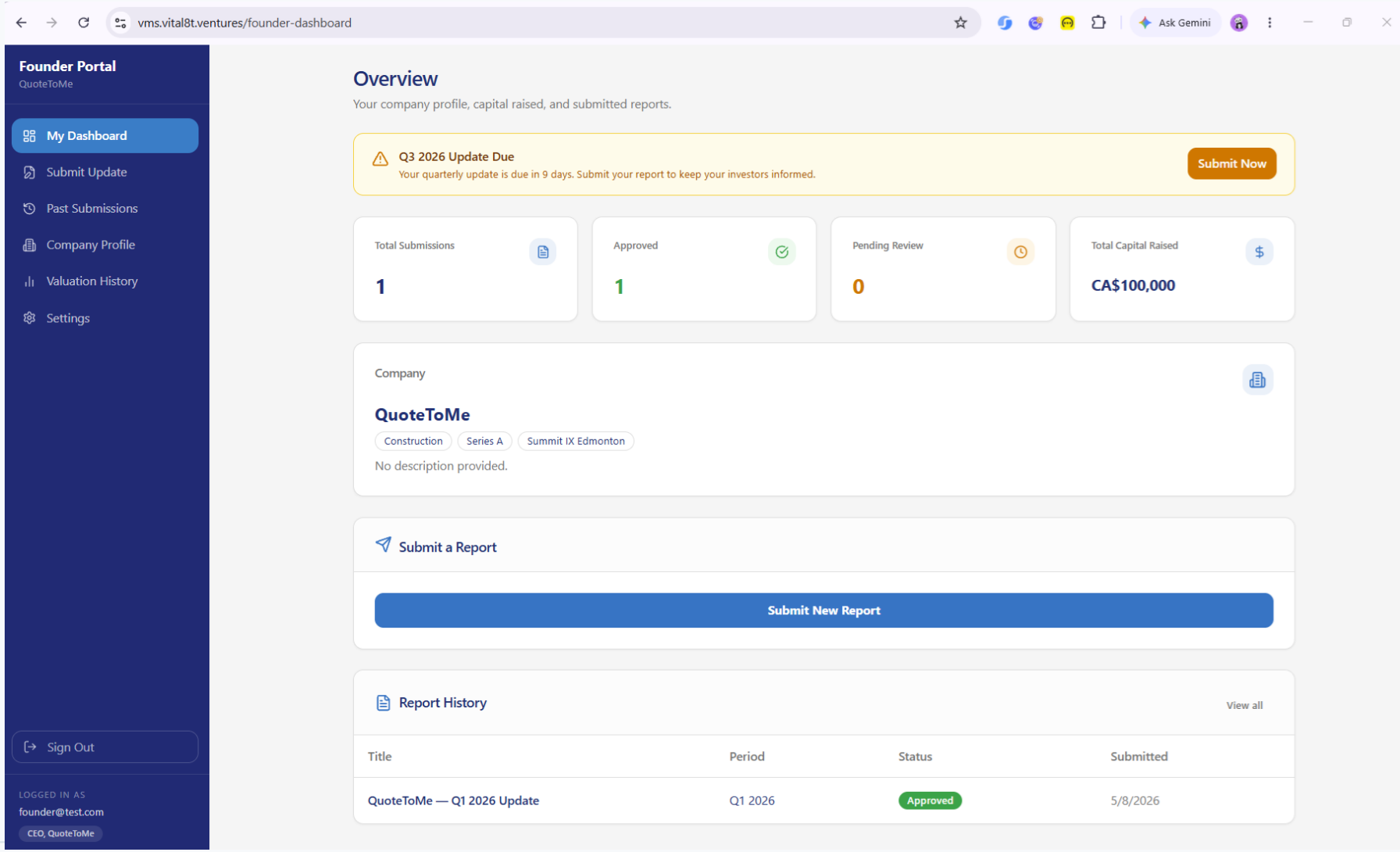
Value Management System: Investor Interface

An online resource for Founders & Investors to review core files and for ongoing reporting and secured messaging.



Value Management System: Founder Interface

An online resource for Founders & Investors to review core files and for ongoing reporting and secured messaging.



SOUND MANAGEMENT SYSTEMS IP ENABLED

INVESTMENT & COMMERCIALIZATION READINESS with Normative Accounting

A staged value, financing and growth-readiness pathway for IP-rich companies

For Founders, CEOs & Growth Leadership Teams

Sound Management Systems | Founder / CEO Discussion Deck

FOUNDER / CEO DISCUSSION DECK